During a recession, government funds cleaner buses and discounted travel for low-income workers. Which assessment best reflects Musgrave's framework?

- A. Its spending form makes stabilization its only possible function
- B. Discounted travel makes the whole policy purely distributional
- C. Cleaner buses make the whole policy purely allocative
- D. The policy may combine allocation, distribution, and stabilization functions

Clear my choice

A public clinic receives EGP 4 million for services and incurs related expenses of 3.2 million. Which report correctly separates revenue from surplus?

- ○ A. Service revenue is 7.2 million because expenses measure services provided
- ◉ B. Service revenue is 4 million and the simplified surplus is 0.8 million
- ○ C. Both service revenue and surplus are 0.8 million
- ○ D. Service revenue is 0.8 million and the simplified surplus 4 million

Clear my choice

A competitive labour market allocates workers efficiently, but some households remain below a socially accepted minimum income. What is the primary rationale for a targeted transfer?

- A. Allocation, because any low income proves inefficient market allocation
- B. Stabilization, because every transfer addresses a recession
- C. Distribution, because efficiency does not settle the fairness of income outcomes
- D. Public production, because transfers require government-owned employers

Clear my choice

In one period government collects taxes of EGP 80 million, borrows 50 million, sells land at its current value for 30 million, and receives donated equipment worth 10 million from an international organization. What are cash receipts and revenue respectively?

- A. EGP 110 million and EGP 90 million
- B. EGP 170 million and EGP 170 million
- C. EGP 160 million and EGP 80 million
- D. EGP 160 million and EGP 90 million

Clear my choice

A person consumes 70,000 during the year. Net wealth rises from 200,000 to 240,000. What is Haig-Simons income?

- A. 70,000
- B. 310,000
- C. 110,000
- D. 40,000

Clear my choice

A tax has a low rate and an easy payment system, but local collectors can negotiate each taxpayer's amount and deadline without clear rules. Which canon is most directly violated?

- A. Convenience
- B. Economy only in the sense of low staffing costs
- C. Equality only in the sense of equal cash payments
- D. Certainty

Clear my choice

If annual consumption is 50,000 and net wealth falls by 10,000, Haig-Simons income is 40,000.

- (●) True
- ( ) False

Two taxpayers have equal economic capacity and similar personal circumstances, but one pays less solely because an otherwise comparable income source is favoured. Which concern is most direct?

- A. Vertical equity
- B. Payment convenience
- C. Horizontal equity
- D. Macroeconomic stabilization

A toll road has spare capacity in the morning but severe congestion in the evening. What changes most directly in its economic characteristics?

- A. Public ownership becomes necessary when congestion starts
- B. Excludability disappears while rivalry remains unchanged
- C. Rivalry becomes more important while access remains excludable
- D. The road becomes a pure public good during peak hours

Clear my choice

A pollution tax necessarily reduces economic efficiency whenever it changes firms' production choices

- ○ True
- ◉ False

A compulsory annual payment is called a business registration fee, but no meaningful administrative service is supplied in return. Which classification is best supported?

- A. Social contribution, because businesses benefit from public institutions
- B. Tax, because economic substance takes priority over the legal label
- C. Fine, because the payment is compulsory
- D. Administrative fee, because registration appears in the payment's name

Clear my choice

A public-transport programme that improves low-income access cannot also perform an allocation function

- ○ True
- ◉ False

The unrequited nature of taxation is compatible with taxpayers receiving substantial shared benefits from public services

- (●) True
- ( ) False

A person starts with assets of 500,000 and debt of 200,000, and ends with assets of 560,000 and debt of 180,000. Consumption is 40,000. What is economic income?

- (●) A. 120,000
- ( ) B. 100,000
- ( ) C. 80,000
- ( ) D. 420,000

Clear my choice

Government controls a bus company that sells services at economically significant prices. Which classification follows the lecture's public-sector framework?

- A. A general government unit because government controls it
- B. A public corporation within the public sector
- C. A private corporation because it charges market prices
- D. A general government unit because transport serves public goals

Clear my choice

A fuel tax helps finance roads and discourages emissions, while policymakers also examine its burden on poor households. Which interpretation is strongest?

- ○ A. Ability-to-pay analysis becomes irrelevant once an environmental objective exists
- ○ B. A link to roads makes the payment a fee rather than a tax
- ◉ C. Benefit, functional, and ability-to-pay considerations can apply to the same tax
- ○ D. A tax designed to change behavior cannot also finance public services

Government receives EGP 6 million for allowing use of public land and EGP 40 million from selling another plot at current value. What is revenue from these transactions?

- A. EGP 46 million
- B. EGP 6 million
- C. EGP 34 million
- D. EGP 40 million

Clear my choice

Once a market failure has been identified, direct public production must be preferred to regulation or taxation

- ○ True
- ◉ False

One water network can supply a town at lower total cost than several competing networks. What should policymakers conclude?

- A. A private monopoly should remain unregulated because its production costs are low
- B. Competition is impossible in every activity connected with water services
- C. Natural-monopoly conditions justify comparing regulation, contracting, and ownership options
- D. Public ownership must have the lowest social cost because duplication is expensive

Residents value a warning system more than its total cost, but many refuse to contribute because they can receive warnings without paying. What best explains the funding problem?

- A. Rival consumption prevents the warning from reaching enough residents
- B. Low willingness to contribute proves that collective benefits are below costs
- C. Public ownership prevents residents from expressing demand
- D. Non-excludability creates incentives to free ride despite positive collective net benefits

Clear my choice